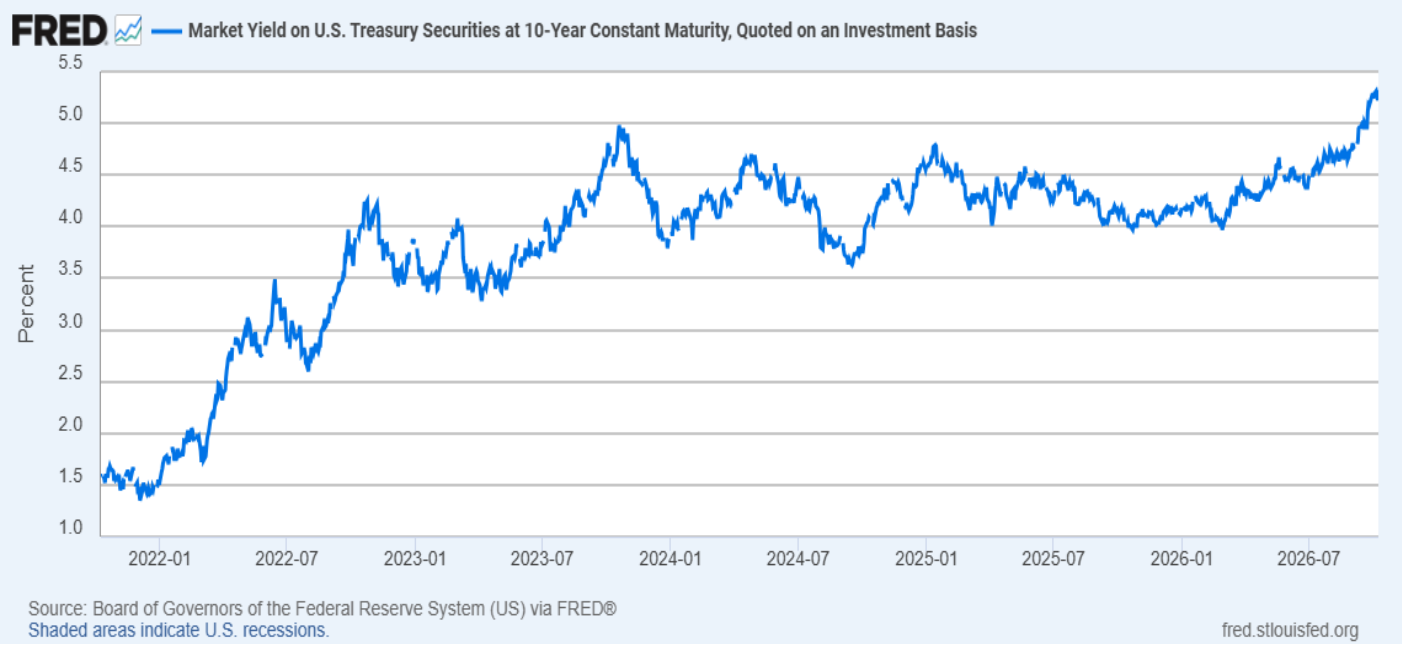
Data cutoff: October 2026

Higher Energy Costs, Treasury Yields and the Growing U.S. Interest Burden

Global markets remain supported by equity strength, but the bond and energy markets are sending a less comfortable message. Brent crude is trading near $104 per barrel, while the U.S. 10-year Treasury yield reached above 5%. The combination raises an important question: can the economy absorb higher energy costs while the cost of government and private-sector financing continues to rise?

The recent **energy**-price pressure is being driven by more than ordinary changes in demand. Geopolitical tensions, shipping risks and disruptions to the movement of refined products are making the supply chain more vulnerable. When crude oil, diesel and transportation costs rise together, the effect can spread beyond the energy sector into freight, manufacturing, agriculture and consumer prices. The concern is especially relevant if higher costs persist long enough to influence business pricing decisions and household inflation expectations.If these pressures persist, however, headline inflation could remain elevated even as weaker employment and economic activity argue for lower interest rates. That would leave the Federal Reserve with a difficult choice between supporting growth and containing inflation.

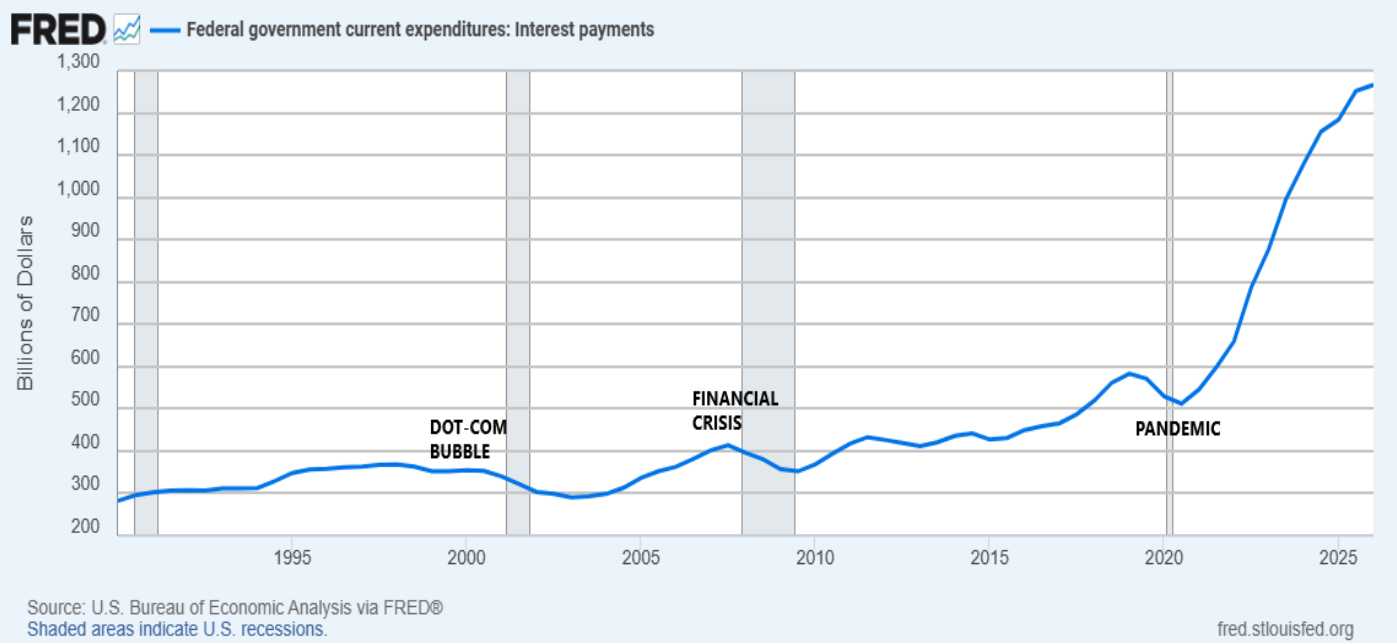
The **bond market** adds another dimension to this problem. The U.S. 10-year Treasury yield reached 5.36% , a 24-year high, passing the 5.34% record before a government bond auction calmed things down, with yields ending the week at 5.24% that raises the discount rate applied to future corporate earnings and increases borrowing costs across the economy.



Companies generating strong cash flows today are better positioned to absorb this environment than businesses whose valuations depend on distant profits and continued access to cheap capital. For highly valued technology companies, the difference between expected growth and the price paid for that growth becomes increasingly important.

The U.S. government's financing position makes the yield outlook particularly significant. The Congressional Budget Office projected a fiscal 2026 deficit of approximately $1.9 trillion and The FRED/BEA reports $1.280 trillion at a seasonally adjusted annual rate for Q2 2026.

A $40 trillion U.S. debt stock generates approximately $1.6 trillion in annual interest expense, or $133 billion monthly. Actual U.S. daily interest outlays hit $3.8 billion in September 2026—projected to expand to $5.0 billion by 2028—outstripping daily federal outlays for healthcare ($3.1 billion) and defense ($2.8 billion).



Foreign Treasury holdings provide a further signal. Reported foreign holdings declined by approximately $50 billion in July 2026 to around $9.25 trillion. China has reduced its Treasury holdings substantially from earlier highs, while Japan remains a major holder and reported UK holdings have increased.



The investment question is whether foreign demand continues to weaken while U.S. borrowing requirements remain high. If domestic investors must absorb a larger share of new issuance, higher yields may be required to attract sufficient capital that would also increase financing costs for new government borrowing and eventually for refinancing maturing debt.

I see a potential feedback loop: persistent deficits increase borrowing needs; higher yields gradually increase refinancing costs; and rising interest expense further constrains the federal budget. At the same time, energy-driven inflation could limit the Federal Reserve's ability to lower rates if growth begins to weaken. The United States retains substantial advantages as the issuer of the world's principal reserve-currency asset, but those advantages do not remove the cost of financing an expanding debt burden.

Over the next three to six months, I would focus on three developments: whether energy prices feed into broader inflation, whether Treasury yields remain elevated as economic growth softens, and whether foreign Treasury demand continues to weaken. If inflation persists while yields remain high despite weaker growth, financing costs could become a more significant constraint for governments, businesses and equity valuations.

My conclusion: the risk is not simply that oil prices rise or Treasury yields remain above 5%. It is that expensive energy, restrictive financing conditions and growing federal interest costs begin reinforcing one another. In that environment, balance-sheet strength, cash-flow durability and valuation discipline become increasingly important. The market may

continue rising, but investors should be more selective about the earnings they are willing to pay for—and the cost of capital embedded in those valuations.

Sources

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